BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service.

25-G-XXXX

January 2025

Prepared Testimony of:

Gas Forecasting Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
GAS FORECASTING PANEL

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
GAS FORECASTING PANEL

I. INTRODUCTION

Q. Would the members of the Gas Forecasting Panel please state their names and business address?

A. Kathleen Trischitta, Johan Tolosa, and Andrew Nichols, 4 Irving Place, New York, New York 10003.

Q. By whom are you employed, in what capacity, what are your professional backgrounds and qualifications, and describe your current responsibilities?

A. (**Trischitta**) We are employed by Consolidated Edison Company of New York, Inc. ("Con Edison" or the "Company"). I am the Director of Commodity Forecasting in Energy Management. I hold a bachelor's degree in Electrical Engineering from the State University of New York at Stony Brook. I joined Con Edison in 1993 and have held various positions in Con Edison's Gas Operations and Fuel Supply, Unregulated Retail Operations and Energy Trading organizations. Upon completion of Con Edison's engineering intern program with Gas Operations, I joined Fuel Supply's newly formed off-system sales organization with responsibility for developing and implementing some of the Company's first strategies for gas asset

optimization. In 1997, I transferred to the newly formed unregulated subsidiary of Consolidated Edison, Inc. ("CEI"), Con Edison Solutions, and was responsible for the implementation of the retail gas business. I was Managing Director of the Energy Trading organization within Con Edison Energy, another unregulated subsidiary of CEI, responsible for the oversight of electricity, gas, oil and renewable energy credit trading. From January 2016 through April of 2024, I worked as the Director of Commodity Operations in the Energy Management organization, overseeing commodity purchasing and scheduling, gas planning, and commodity hedging. In April 2024, I assumed my current position where I oversee development of the daily peak, annual peak, monthly/annual energy revenue and volume forecasts for the electric, gas, and steam systems; and technical and analytical support for long range plans, strategies, and industry trends and issues that affect the Company related to gas, steam, and electricity.

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(Nichols) I am a Senior Planning Analyst in the Gas and Steam Forecasting Section of the Commodity Forecasting Department in Energy Management. My background is as follows: I received a Bachelor of Arts degree in Economics from Bucknell University in 2017. In 2017, I joined Con Edison in the Electric Operations Organization where I worked in an internal auditing group tracking performance in the organization. In October 2019, I assumed my present position where I have been responsible for the production of forecasts for volumes and revenues for Con Edison's Steam System, as well as a long term peak demand forecast for Steam. Currently, I work on developing econometric time series models for Con Edison's gas system.

(Tolosa) I am the Section Manager of Gas and Steam Forecasting of the Commodity Forecasting Department in the Energy Management organization. My background is as follows: I graduated from the City College of New York with a Bachelor of Engineering degree in Mechanical Engineering in 2009. I also received a Master of Science degree in Finance from Pace University in 2016. I joined Con Edison in 2009 as a Management Intern, with assignments in the Steam and the Electric Operations

Departments. After graduating the Management Intern Program, I took a permanent position as an Associate Engineer in Central Engineering supporting Steam Operations from 2011 to 2015. In June 2015, I became an Operating Supervisor for the Gas Conversions Group in Gas Operations where I worked until the end of 2017. I joined the Energy Management organization in December 2017 where I have held various roles. My current responsibilities include overseeing the development of Con Edison gas delivery volume and revenue forecast, as well as Con Edison's long-term peak demand forecast.

Q. Have you previously submitted testimony to the New York State Public Service Commission ("Commission")?

A. **(Trischitta)** Yes. I have submitted testimony before the Commission on behalf of the Company and its affiliate, Orange and Rockland Utilities, Inc. in previous electric, gas and steam proceedings.

(Nichols) Yes, I have submitted testimony in Case No. 22-S-0659.

(Tolosa) Yes, I have submitted testimony in Case Nos. 21-G-0073, 22-G-0065, 22-S-0659, and 24-G-0061.

II. PURPOSE OF TESTIMONY

Q. What is the purpose of the Gas Forecasting Panel's testimony in this proceeding?

A. The Gas Forecasting Panel's testimony presents the Company's forecast of gas delivery volumes (both full service and transportation combined), and revenues for the 12 months ending December 31, 2026 ("Rate Year") also known as ("RY1"), and two additional 12-month periods ending December 31, 2027 and December 31, 2028 (which we refer to as "RY2" and "RY3," respectively). The testimony explains the development of these forecasts starting from the 12 months ending September 30, 2024 ("Historic Year" or "Base Period"), and the key factors expected to impact future delivery volumes through the end of RY3.

Q. Will you please summarize, in aggregate form, your firm delivery volume forecast?

A. The firm delivery volume forecast for the three months ending December 2024 is 41,340 MDt. The firm delivery volume forecast for the 12 months ending December 2025 is 167,931 MDt. The firm delivery volume forecast is 166,036 MDt for 12 months ending December 2026 (i.e., RY1), 162,648 MDt for the 12 months ending 2027 (i.e.,

RY2), and 162,223 MDt for the 12 months ending 2028 (i.e., RY3). The drivers of the changes in the forecasted volumes are discussed further in Section IV.

Q. What is the purpose of the delivery volume and sendout forecast?

A. The firm delivery volume forecast is used to determine the revenue forecast. The sendout forecast is also used by the Company's Gas Supply Panel to develop a gas supply cost forecast.

Q. Do you have any exhibits that accompany this testimony?

A. Yes, we are presenting five exhibits, Exhibit ___(GFP-1) through Exhibit ___ (GFP-5).

Q. Were these five exhibits prepared under the Panel's direction and supervision?

A. Yes. We describe each of these exhibits below in our testimony.

III. DELIVERY VOLUMES BY SERVICE CLASSIFICATION

Q. Which customers are included in the delivery volume forecast?

A. Both firm and non-firm customers are included in the delivery volume forecast. Firm customer classes include:

- SC-1 – Residential and religious customers;
- SC-2 – Rate 1 (General commercial and industrial

customers);

- SC-2 – Rate 1 Rider H (General commercial and industrial customers);
- SC-2 – Rate 2 (General commercial and industrial customers);
- SC-3 – Residential (1 to 4 family dwelling units);
- SC-3 – Residential Rider J (1 to 4 family dwelling units);
- SC-3 – Residential (>4 family dwelling units);
- SC-13 – Seasonal off-peak water heating;
- SC-14 – Natural gas vehicles; and
- Special Contract Customers.

Non-firm (Interruptible) customer classes include:

- SC-9 – Transportation service customers who would otherwise take SC-12 service;
- SC-12 Rate 1 – Non-firm (interruptible) customers; and
- SC-12 Rate 2 – Off-peak firm customers.

IV. FIRM VOLUME FORECAST

Q. How did the panel derive the base period sales volumes for the forecast?

A. The GFP began with the total sendout data from the Company's Gas Daily Operations (GDO) system for each of

the twelve billing cycles within the base period. The GFP then adjusted the daily sendout data in order to align said data with the monthly billing cycles. The estimated line loss for each month was subtracted (using a five-year average of line losses) to derive the estimated total sales. These total sales were allocated among the service classes based on the average distribution of sales amongst the service classes for the base period over the previous five years. This approach accounts for the issue identified in the Company's letter to the Commission "Case 22-G-0464 Con Edison GCF Reconciliation -12 months ended August 2024 - Final" filed on November 14, 2024.

Q. What are the key factors expected to impact future gas delivery volume?

A. The key factors expected to impact future gas delivery volume in the various service classifications are:

- Normalized Historic Year volume;
- Energy Efficiency including both programmatic and organic;
- Electrification of heating load; and
- Electrification of non-heating natural gas load.

Q. How did you derive your forecast for RY1 Firm Volume?

A. We began with the Historic Year volume and adjusted to:

- Normalize the impact of actual weather conditions to a 30-year average condition measured in Heating Degree Days;
- Normalize the impact of actual water temperature to an historical average of water temperature condition measured as an average cycle water temperatures;
- Account for the transferring of customers between non-firm service and firm service;
- Seasonality of A/C volumes;
- Normalize billing days.

Q. Please explain the weather normalization adjustment.

A. The weather normalization adjustment is performed to adjust volumes to the 30 years ending 2023 normal level of Heating Degree Days. The Company used a 30-year normal of Heating Degree Days in accordance with the Commission's requirement in the *Order Approving Electric, Gas and Steam Rate Plans in Accord with Joint Proposal*, in Case 16-G-0061, *et al*. We calculated the monthly impact on firm delivery volume for firm heating service classifications by multiplying the variation between normal and actual Heating Degree Days, measured on a billing cycle basis, by a use per heating degree-day per

bill factor times the actual number of bills by applicable service classification.

Q. How is average weather normalized use per bill calculated?

A. Con Edison calculates the average weather normalized use per bill by dividing monthly volume in a historic a 12-month period by the monthly number of bills during the period. This number is then divided by the number of billing days in the month.

Q. What did you do next with the Heating Degree Day calculation?

A. We used regression analysis of the adjusted actual monthly billed volumes per customer per billing day versus actual monthly billing cycle heating degree days per billing day to determine the normalization factors by service classification.

Q. Please explain the remaining adjustments made to the Historic Year volume.

A. We also performed the following adjustments:

- We performed the water normalization adjustment to the Base Period volume for deviations from normal average water temperatures to the actual average water temperatures to adjust for the impact on water heating

requirements. The Adjustment for SC-1 and SC-2 rate 1 is for all 12 months. We determined the usage per degree of average water temperature factors for the average customer of each class by regression analysis, which demonstrated a correlation between sales and water temperature. We applied these factors in a similar manner as the space heating factors were applied in the weather normalization adjustment to derive the water normalization adjustment.

- We made adjustments to account for customers transferring from non-firm to firm service during the Base Period. We performed this adjustment to annualize the transfers occurring in the historic period. These customers moved either electively or because their gas usage did not meet interruptible tariff terms.
- We performed seasonal adjustments for air conditioning volumes where billing is outside the cooling season.
- We adjusted the number of billing days to account for the difference between the number of days billed in the Historic Year versus the number of expected billing days in each forecast Year.

Q. Please discuss the adjustment to the 30-year normal to

reflect the impact of Climate Change.

A. After using the 30-year normal ending 2023 to adjust volumes for the test year, we reviewed the Company's industry-leading proactive Climate Change Vulnerability Study and determined the annual rate of climate change to get to the Study's 2030 normal. Using that change, we adjusted the normal used for the test and bridge years to reflect a new climate normal for RY1 (2026), RY2 (2027), RY3 (2028), and continued for years 2029 and 2030 to complete the Company's six-year forecast.

Q. Please explain the electrification of heating.

A. The adjustment reflects the Company's estimated impact of gas customers converting their heating systems to use electric service in support of the initiatives outlined in the Climate Leadership and Community Protection Act and Local Law 97. Customers in all service classes, and their associated volumes, are adjusted in the forecast to reflect the estimated future loss of gas heating as customers switch to electrify their heating.

Q. Please explain the electrification of non-heating.

A. This adjustment reflects the Company's estimated impact of gas customers that will convert their gas stoves, gas dryers, and gas water heaters to use electric service in

support of the initiatives to reduce greenhouse gas emissions. Customers in all service classes, and their associated usage are adjusted to reflect the loss of forecasted non-heating gas customers and associated volumes for the electrification of appliances.

Q. Have you prepared an exhibit showing the RY1 firm gas volumes?

A. Yes, we prepared a three-page Exhibit ___ (GFP-1), the first page of which is titled "CONSOLIDATED EDISON COMPANY OF NEW YORK, INC. - DEVELOPMENT OF 12 MONTHS ENDING DECEMBER 31, 2026 - FORECASTED FIRM GAS VOLUMES (MDts)" with this information.

MARK FOR IDENTIFICATION AS EXHIBIT ___ (GFP-1)

Q. Please describe page 1, line 1 of Exhibit ___ (GFP-1).

A. Page 1, line 1 of Exhibit ___ (GFP-1) shows the adjusted actual firm gas volumes recorded during the Historic Year on a service classification basis.

Q. Please describe page 1, line 2 of Exhibit ___ (GFP-1).

A. Page 1, line 2 of Exhibit ___ (GFP-1) shows the adjusted volumes associated from the weather normalization.

Q. Please describe page 1, line 3 of Exhibit ___ (GFP-1).

A. Page 1, line 3 of Exhibit ___ (GFP-1) shows the adjusted volumes associated from the water normalization. Water

temperatures during the Historic Year were warmer than normal. As a result, the Historic Year delivery volumes were lower than they otherwise would have been under normal conditions. This resulted in an upward adjustment to firm volumes of 191 MDt.

Q. Please explain the annualization adjustment labeled "Transfers From Interruptible Service" on line 5.

A. The delivery volumes on line 5 reflects the net of delivery volumes of customer movement between firm and interruptible service during the Historic Year.

Q. Please explain line 6 "Billing Schedule Adjustment."

A. The Billing Schedule Adjustement represents the variations in the meter reading schedule from Historic Year to the rate years.

Q. What does line 7, "Base Estimate" represent?

A. The Base Estimate represents the Historic Year volume with the adjustments described previously in this section. The Base Estimate is the starting point for the Rate Year's firm delivery volume forecast. We then apply the adjustments described below to develop the firm delivery volume forecast.

Q. Please explain the "Oil to Gas Conversions" forecast shown on line 8.

A. The Oil to Gas Conversions forecast are forecasted volumes for anticipated new business from customers converting to natural gas from heating oils.

Q. What is the New Business forecast on line 9?

A. The forecast on line 9:

(1) annualizes the volumes associated with customers added or lost during the Historic Year that were not fully realized in the Historic Year and customers that have switched from one service class to another as mentioned previously in this testimony; and

(2) estimates the expected volume to be realized in the Rate Year associated with new construction.

Q. Please explain how the New Business forecast was developed.

A. The New Business volume forecast begins with a forecast of the number of customers for SC-1, SC-2 rate 1, SC-2 rate 2, and SC-3 split between 1 to 4 dwelling units and greater than 4 dwelling units.

As mentioned previously in this testimony, we also used the weather-normalized average use per customer during the base period. We multiplied the weather-normalized average use by the forecast of the number of customers resulting in the New Business forecast.

Q. In developing the New Business volume forecast, how was the forecast of customers developed?

A. We developed the forecast of customers primarily based on time-series econometric regression models using customer count history. Regression models were used to forecast customers for service classifications SC-1 – Residential and religious customers, SC-2 rate 1 (General commercial and industrial customers), SC-2 rate 2 (General commercial and industrial customers), SC-3 – Residential (1 to 4 family dwelling units), and SC-3 – Residential (>4 family dwelling units). These regressions by service classification used historical customer data as dependent variables. We adjusted the historical customer counts for historical oil-to-gas conversions in service classifications SC-2 rate 2 (General commercial and industrial customers), SC-3 – Residential (1 to 4 family dwelling units), and SC-3 – Residential (>4 family dwelling units) to account for the Company's historical programs that provided incentives to customers who converted from heating oils.

Q. Explain how you developed the 30-day bills forecast.

A. We created the 30-day bills forecast in this filing by converting the customer forecast as mentioned previously

in the description of the New Business Forecast in this section. This customer count forecast was adjusted based on the future number of billing days in the months contained in the forecast horizon, normalizing the number of future billing days to 30.

Q. What is the "Energy Efficiencies" forecast shown on line 10?

A. The Company's Energy Efficiency Department develops the Energy Efficiency forecast. This forecast reflects the expected impact of energy efficiency plans and programs as well as forecasted non-programmatic organic conservation by customers in the service territory.

Q. Please explain the basis of the "Energy Efficiencies" forecast shown on line 10.

A. The Company develops the forecast based on programs and plans that include: New Efficiency: New York (NE:NY) and Clean Heat programs. In addition, the forecast includes expected savings from the New York State Energy Research and Development Authority ("NYSERDA"). These programs provide resources and incentives to the residential (1 to 4 dwelling units), multi-family and commercial customer segments to promote energy efficiency. The Company also develops a forecast of organic, or non-programmatic

energy efficiency that customers pursue without the aid of the programs mentioned previously.

Q. Please explain the basis of the "Electrification" forecast shown on line 11.

A. The Electrification on line 11 forecasts the Company's forecasted reduction in gas delivery volume related to existing and future customers switching from gas to electric service for both heating and non-heating purposes.

Q. What do pages two and three of Exhibit (GFP-1) show?

A. These pages quantify the impacts that the forecast drivers previously discussed in this section (e.g. weather-normalization, energy efficiency)are expected to have on RY2 and RY3, respectively.

Q. Based on page one of Exhibit __ (GFP-1), what are the projected firm delivery volumes for the Rate Year?

A. Line 12 on page one of Exhibit __ (GFP-1) summarizes the firm delivery volume forecast for the Rate Year. Firm delivery volume is estimated to total 166,036 MDt. This represents a decrease of 3,641 MDt from the Historic Year's volume adjusted to normal weather, water, transfers to and from interruptible, and billing schedule adjustments.

Q. Are the volumes shown by service classification and in total on page one of Exhibit __ (GFP-1) the volumes the Panel is recommending to be used for rate setting forecasting?

A. Yes. These are the service class delivery volumes for this rate filing.

V. NON-FIRM (INTERRUPTIBLE) VOLUME FORECAST

Q. How was the volume projected for SC-12 rate 1 Non-Firm (Interruptible) and SC-12 rate 2 Off-Peak Firm developed?

A. We developed the forecast of the future volume for SC-12 rate 1 Non-Firm (Interruptible) and SC-12 rate 2 Off-Peak Firm by making adjustments to the Historic Year volumes. These adjustments include:

(1) a weather adjustment that was computed in a manner similar to the weather normalization adjustments for the weather sensitive firm rate classifications;

(2) an adjustment for the service interruptions that occurred within the Historic Year for the interruptible service classes; and

(3) an adjustment for the transfer of customers between interruptible and firm service discussed earlier.

Q. Based on Exhibit __ (GFP-3), described later, what are the projected non-firm sendout volumes for the Rate Year?

A. Line 13 of Exhibit __ (GFP-3 page 1) summarizes the non-firm sendout volume forecast for the Rate Year. We forecast that Non-Firm sendout volume will be 22,777 MDt.

VI. REVENUE FORECAST

Q. Were Exhibits ___ (GFP-2)and (GFP-3), which are entitled "CONSOLIDATED EDISON COMPANY OF NEW YORK, INC. – FORECSATED GAS VOLUMES AND REVENUES," prepared under the Gas Forecasting Panels supervision and direction?

A. Yes, they were.

MARK FOR IDENTIFICATION AS EXHIBIT ___ (GFP-2) and (GFP-3)

Q. Please explain what page 1 of Exhibit ___ (GFP-2)shows?

A. Page 1 shows forecasted volumes and revenues for the three months ended December 31, 2024 at January 1, 2024 rates.

Q. What does column 1 "Gas Delivery Volumes (MDt)" of this exhibit show?

A. Column 1 shows by service classification grouping the gas volumes forecasted for the three months ending December 31, 2024.

The firm gas service classifications are:

- SC-1 - Residential and Religious;

- SC-2R1 – General Commercial and Industrial;
- SC-2R1 – Rider H - General Commercial and Industrial (customer using gas service for on site Distributed Generation);
- SC-2R1 – Contract General Commercial and Industrial (non-heating);
- SC-2R2 – General Commercial and Industrial (heating);
- SC-3 - Residential and Religious (heating);
- SC-3 – Rider J - Residential and Religious (customer using gas service for on site generation);
- SC-13 – Seasonal Off Peak Water Heating; and
- SC-14 – Natural Gas Vehicles.

Column 1 also shows projected SC 12 Rate 1 Non-Firm and SC-12 rate 2 Off-Peak Firm volumes for the three months ending December 31, 2024.

Q. Please explain how the Base Revenues, shown in column 2 on page 1, for firm related volumes were determined.

A. For SC-1, SC-2 rate 1, SC-2 rate 2, SC-3, and SC-13, we computed the forecasted Base Revenues by month on a billing determinant basis. The forecast is the product of three steps:

(1) the estimated number of 30-day bills associated with the forecasted usage is multiplied by the minimum charge rate to obtain minimum charge revenues;

(2) the forecast usage is broken down into usage by rate block and multiplied by the associated rates as they appear in the Company's gas rate leafs for each rate block; and

(3) the minimum charge revenues and block charge revenues are summed to obtain total Base Revenues.

The air conditioning volumes of certain customers within these service classifications are charged lower rates for associated incremental volumes and were priced separately. Volumes to distributed generation customers and contract customers were priced according to their appropriate rate/contract terms. The volumes related to SC-14 were priced at the rate in effect at the time the forecast was developed.

Q. Please explain how the Base Revenues related to the projected volumes for SC-12 rate 1 Non-Firm were determined.

A. SC-12 rate 1 Non-Firm Base Revenue was calculated by separating the service classification customers into commercial and residential. Volumes were then broken

down into usage by rate block and multiplied by the associated rates as they appear in the Company's gas rate leafs for each rate block.

Q. Please explain how the Base Revenues, shown in column 2, related to the projected volumes for SC-12 rate 2 Off-Peak Firm, were determined.

A. SC-12 rate 2 Non-Firm Base Revenue was provided by Accounting reflecting the base period's actual revenue.

Q. Please describe the revenues shown in columns 3,4,5,6, and 7 on page 1.

A. Column 3 on page 1 shows Competitive Charges, which are the associated Merchant Function charges for Supply, Credit and Collections, plus Billing and Payment Processing revenues. Column 4 through 7 on page 1 are revenues supplied by Financial Planning and Analysis for this Exhibit. Column 4 that is listed as "Other Charges" include various complonents of Monthly Rate Adjustment, Uncollectibe Bills, Purchase of Receivables. Column 5 is System Benefit Charges. Column 6 is the Gas Cost revenues. Column 7 is the revenue taxes associated with columns 2 through 6, and column 8 shows the total revenues of column 2 through column 7.

Q. Please explain what page 2 of Exibit ___ (GFP-2)shows.

A. Page 2 in the same format shows forecasted volumes and revenues for the 12 months that lead up to the Rate Year, 12 months ending December 31, 2025 at January 1, 2025 rates.

Q. Please explain Exhibit ___ (GFP-3).

A. GFP-3 is similar to Exhibit ___ GFP-2 as it shows the Gas Delivery Volume and Revenues for the Rate Year, RY2, and RY3 at current rates. The Rate Year shown on page 1 of Exhibit GFP-3 has three additional columns, columns 9, 10, and 11, to include the Proposed Rate Increase and additional Revenue tax. Column 9 is the proposed change in non-competitive revenues. Column 10 is the proposed change in competitive revenues. Column 11 is additional taxes and column 12 is the grand total of the proposed rate increase and associated taxes added to the Total Revenues at current rates shown in colum 8.

Q. What is the firm rate increase proposed in the Company's rate filing?

A. The total proposed firm rate increase inclusive of the low income discount is $440.6 million.

Q. You stated above that you developed the Rate Year base revenue forecast by using billing determinants. Did you

develop exhibits summarizing the details of the billing determinant forecast?

A. Yes. This data is shown for the three rate years on a three-page exhibit, the first page of which is entitled "CONSOLIDATED EDISON COMPANY OF NEW YORK, INC. – FORECASTED GAS VOLUMES AND BASE REVENUES - 12 MONTHS ENDING DECEMBER 31, 2026 AT CURRENT RATES BY BILLING DETERMINANTS."

MARK FOR IDENTIFICATION AS EXHIBIT ___ (GFP-4)

Q. Please describe what this exhibit shows.

A. This exhibit shows, where applicable, the firm volumes by billing determinant. The volumes by billing determinant were developed using actual billing determinant volumes for the Historic Year, modified to reflect the impact of the variables previously discussed. The allocation of the impact of each of those variables on billing determinant volumes was assessed on an individual basis. For example, based on historical customer behavior and the nature of the block structure, the impact of adjustments related to weather has a relatively greater impact on penultimate and terminal billing determinant usage than on the blocks associated with smaller size new business customers.

We based the forecast of firm delivery revenues from tariff customers (other than special contract customers and SC-14) based on billing determinants. Firm delivery revenues from special contract customers were based on their current contract terms. We developed the firm delivery revenues SC-14 revenues by using prices in effect during the Historic Year.

VII. ADDITIONAL RESOURCES

Q. Are there any O&M requests outside of capital projects?

A. Yes, there are two O&M requests totaling $358,000. The Company is requesting $50,000 of funding for the support of the Energy Management Analytics ("EMA") work and $308,000 of funding for the support of the Gas Distribution Forecasting Tool over the rate years. No capital funds are requested through Gas Revenue and Volume Forecasting. Instead, the EMA capital project costs are requested under the Enterprise Data & Analytics effort. The capital work includes utilizing Energy Management energy price data and customer consumption data to create infographics on the cost rates of consumption per service class per hour, and to assess for the localized economic benefits of disbursing battery

storage per service classes. The O&M costs are IT costs to maintain the enhancements.

Gas Daily Forecasting Tool (GDFT) is a firm gas distribution forecasting model that forecasts firm gas peak demand at design weather conditions with increased granularity. The forecast considers historical meter-level consumption trends, and the new business, new construction, demand response, steam-to-gas customers, energy efficiency ("EE"), distributed generation, oil to gas conversion, building electrification ("BE") in its modeling. Using this new tool, the Company will be able to project firm gas peak day demand into Districts and Regulators for a 20-year horizon at the distribution level. This ongoing capital project is slated to conclude in the Second Quarter of 2025. The O&M funding request will support costs of the maintenance contract with the vendor to recalibrate the meter-level patterns as they change with time towards maintaining accurate localized trending. Recalibration support of the application is integral to the reliability and performance of the application.

Q. Are there any employee labor O&M requests?

A. Yes, The Company is requesting one (1) additional employee to fulfill the functions of Gas Peak Demand and Volume Forecasting, with the intention to onboard the employee in 2026. The primary responsibilities of this new role will include using and supporting the Gas Distribution Forecasting Tool. This encompasses running models with various "What-If" scenarios, re-establishing baselines for the application using updated customer metering data, recalibrating gas transmission nodal information, troubleshooting the application as needed, and integrating the gas system peak forecasts into the models. Additionally, the new employee will present these models to various departments for downstream integration of results. Furthermore, the new employee will synchronize all forecast simulations and forecasts to the Company's volumetric forecast to ensure alignment. This role will also include the responsibility of using the Integrated Forecasting Pathways Sensitivity Model, which is being designed by McKinsey.

Q. Has the Panel prepared an Exhibit showing the additional resources that you have just described?

A. Yes. We have prepared EXHIBIT ___ (GFP-5) entitled "GAS FORECASTING – 2025 OM WP."

Q. Does this conclude the Gas Forecasting Panel's testimony?

A. Yes. It does.